

No. of Printed Pages : 3

MCS-225

**MASTER OF COMPUTER
APPLICATIONS (MCA-NEW)**

Term-End Examination

June, 2025

**MCS-225 : ACCOUNTANCY AND FINANCIAL
MANAGEMENT**

Time : 3 Hours

Maximum Marks : 100

Note : (i) Attempt any **five** questions.

(ii) All questions carry equal marks.

1. Examine the importance of the following in the changing business environment : $4 \times 5 = 20$
 - (a) Inflation Accounting
 - (b) Social Responsibility Accounting
 - (c) Human Resource Accounting
 - (d) Forensic Accounting

2. Define Financial Statements Analysis. Explain in what ways such an analysis benefit managerial personnel, creditors, government and their agencies and owners. 20
3. What do you mean by 'Liquidity ratios' and 'Profitability ratios' ? How are these ratios calculated ? 20
4. What is Funds Flow Statement ? How is it prepared ? Examine its managerial uses. 20
5. Discuss the nature and scope of financial management. Examine the role of finance function in an organization. 20
6. Discuss the nature and elements of capital budgeting. Explain the major drawbacks of various capital budgeting techniques. 20
7. "The excess of current assets over current liabilities is the net current assets or working capital." Elucidate the statement with suitable examples. Also explain the factors that determine working capital needs of a firm. 20

[3]

8. How does credit policy of a firm influence the following variables on the net profit of the firm ? 4×5=20

- (a) Credit Standards
- (b) Credit Period
- (c) Cash Discount
- (d) Collection Effort

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**MASTER OF COMPUTER
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Term-End Examination

December, 2024

**MCS-225 : ACCOUNTANCY AND FINANCIAL
MANAGEMENT**

Time : 3 Hours

Maximum Marks : 100

Note : (i) Attempt any **five** questions.

(ii) All questions carry equal marks.

1. Write short notes on any **four** of the following : 4×5=20

(a) Going concern

- (b) Accrual
- (c) Matching
- (d) Conservatism
- (e) Materiality

2. Explain the following terms with an example of each :

5×4=20

- (a) Tangible and Intangible Assets
- (b) Current Assets and Current Liabilities
- (c) Reserves and Provisions
- (d) Contingent Assets and Contingent Liabilities

3. What is the purpose of preparing cash flow statement ? Explain the *three* broad headings under which cash inflows and cash outflows are reported while preparing cash flow statement.

20

4. (a) “The quality of analysis is dependent upon the quality of information depicted by the financial statements.” Do you agree ? 10
- (b) “High current ratio may also indicate lower efficiency in assets utilisation.” Do you agree ? Justify your answer. 10
5. “The financial goal of a firm should be to maximise profits and net wealth.” Do you agree with this statement ? Justify. 20
6. RADHA Dairy Limited has decided to diversify its business and seeking your advise to invest its surplus funds on a profitable project. It has two projects under consideration—project ‘P’ and project ‘Q’. The cost of project ‘P’ is ₹ 100 crore and that of ‘Q’ is ₹ 150 crore. Both projects are expected to have a life of 8 years only and at the

end of this period 'P' will have a salvage value of ₹ 4 crore and 'Q' ₹ 14 crore. The running expenses of 'P' will be ₹ 35 crore per year and that of 'Q' ₹ 20 crore per year. In both cases the company expects rate of return of 10%. The company tax rate is 50%. Depreciation is charged on straight-line basis. Which project should the company take up ?

Note : Present value of annuity of ₹ 1 for eight years at 10% is 5.335 and present value of ₹ 1 received at the end of the eight years is 0.467.

20

7. "Treasury management mainly deals with working capital management and financial risk management." Discuss.

20

8. What will be the effect of the following changes on the level of the firm's receivables ? $4 \times 5 = 20$

- (i) Recession
- (ii) Production and selling cost increases
- (iii) Interest rate increases
- (iv) The firm changes its credit terms from "2/10, net 30" to "3/10, net 30".

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Time : 3 Hours

Maximum Marks : 100

Note : (i) Attempt any **five** questions.

(ii) All questions carry equal marks.

1. From the following Trial Balance of M/s Volcano and Earth for the year ending 31st March, 2022 prepare Trading and Profit & Loss Account for the year ended 31st March, 2022 and Balance Sheet as on 31st March, 2022 :

P. T. O.

Particulars	Amount (Dr.) (₹)	Particulars	Amount (Cr.) (₹)
Stock	48,000	Bank loan	13,200
Building	72,000	Creditors	34,800
Debtors	51,000	Capital	96,000
Machinery	30,000	Sales	3,90,000
Drawings	12,000	Discount	1,200
Purchases	2,70,000	Purchases returns	2,400
Insurance	4,500	Commission	2,250
Trade Expenses	10,800	Provision for bad debts	1,200
Sales return	1,800	Bills payable	6,000
Salaries	24,600		
Carriage inwards	3,750		
Bad Debts	900		
Bills receivable	13,500		
Cash	4,200		
	5,47,050		5,47,050

Incorporate the following adjustments while preparing final accounts :

- (i) Closing stock is valued at ₹ 36,000.

- (ii) Provide interest on capital at 5%.
 - (iii) Outstanding salaries ₹ 2,400.
 - (iv) Prepaid insurance ₹ 450.
 - (v) Depreciation on building 2% and on machinery 10%.
 - (vi) Make a provision of 5% on debtors for bad debts.
 - (vii) Commission accrued and receivables ₹ 600.
2. Explain the following accounting concepts :
- (i) Business Entity Concept
 - (ii) Cost Concept
 - (iii) Going Concern Concept
 - (iv) Materiality Concept
3. What are the different types of financial ratios ? Define and evaluate various solvency ratios.
4. What do you understand by cost of capital ? Explain the various constituents of 'capital' and discuss how cost of 'equity capital' is determined.

5. What do you understand by 'Working Capital' ?
Discuss in detail the various sources from where working capital needs can be financed.
6. What do you understand by 'Receivables Management' ? Briefly discuss credit policy variables and explain the quantitative impact of relaxing credit standards and credit period on profits.
7. Explain the cash management cycle and discuss the motives for holding cash. Explain the Baumol's model for determining optimum cash balance.
8. Explain the nature of accounting function and discuss how accounting process acts as an 'Information System'.

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**MCS-225 : ACCOUNTANCY AND FINANCIAL
MANAGEMENT**

Time : 3 Hours

Maximum Marks : 100

Note : Attempt any **five** questions. All questions carry equal marks.

1. From the following Trial Balance of M/s. Ocean and Island, prepare Trading and Profit & Loss A/c for the year ended 31st March, 2022 and Balance Sheet as at 31st March, 2022 :

	Dr.	Cr.
Particulars	Amount (₹)	Amount (₹)
Capital		5,59,380
Plant and Machinery	3,30,000	
Fixtures and Fittings	10,320	
Fuel and Power for factory	3,252	

P. T. O.

Office Salaries	22,470	
Electric expense of factory	2,352	
Travelling exp.	5,550	
Carriage on Sales	5,760	
Cash at bank	13,470	
Cash in hand	408	
Debtors	2,86,800	
Purchases	4,99,740	
Factory wages	59,490	
Rent and Rates	10,590	
Office expenses	16,668	
Carriage on purchase	5,382	
Discount	2,532	
Drawings	40,920	
Stock as on 1/04/2021	1,30,350	
Manufacturing expenses	16,080	
Sales		7,57,062
Sales Return	44,532	

Creditors		1,36,080
Purchase Returns		19,032
Bills Payable		38,532
Insurance	3,420	
Total	15,10,086	15,10,086

Adjustments :

- (i) Stock as on 31st March, 2022 is ` 99,480.
 - (ii) Depreciate plant and machinery by 5% and fixtures and fittings by 10%.
 - (iii) Make a provision on debtors for doubtful debts @ $2\frac{1}{2}\%$.
 - (iv) Outstanding rent and rates ` 4.50.
 - (v) Prepaid insurance ` 420.
 - (vi) Outstanding wages ` 2,100 and Outstanding salaries ` 4,800.
2. Explain the following accounting concepts :
- (i) Dual Aspect (Duality) concept
 - (ii) Matching concept
 - (iii) Concept of Conservatism
 - (iv) Consistency concept

3. What is a Cash Flow Statement ? Discuss the major classification of cash flows as per AS-3 (Revised).
4. Explain the 'Operating Cycle' used for computing the working capital required. Discuss the factors influencing working capital requirements.
5. What do you understand by Capital Investment ? Explain the steps involved in capital budgeting decision. Discuss the importance of capital investment decisions.
6. Briefly explain the various terms of payments adapted for business transactions. Explain credit policy variables and discuss the quantitative impact of relaxing collection efforts and increasing cash discount on profits.
7. Explain the reasons for holding inventory and discuss the objectives of inventory management. Explain the Economic Order Quantity (EOQ) approach of inventory management.
8. What is an 'Annual Report' of a company ? What kind of information is contained in this report and how is it useful to internal and external users ?

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Time : 3 Hours

Maximum Marks : 100

Note : Attempt any **five** questions. All questions carry equal marks.

1. Explain the following accounting concepts :

5×4=20

- (a) Business entity concept
- (b) Dual aspect concept
- (c) Accrual concept
- (d) Matching concept

P. T. O.

2. Discuss the various items which are shown in the Balance Sheet. Why are adjustment entries required to be made at the time of preparing Final Accounts ? Explain any such *five* adjustment entries. 20
3. What is a cash flow statement ? Explain the process of construction of cash flow through Direct Method. 20
4. What is an 'Annual Report' ? Explain the disclosures made in annual report and discuss the usefulness of information in annual report to internal and external users. 20
5. What are the different types of investment decisions ? Discuss the stages in capital budgeting process and explain the importance of capital investment decisions. 20
6. Explain the operating cycle concept of working capital and discuss and factors influencing working capital requirements. 20

7. What do you understand by firm's credit policy ?
Discuss its important dimensions and explain
the effects of liberal versus stiff credit
standards. 20
8. What are the reasons for holding inventory ?
Explain the traditional techniques of inventory
control. 20

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MANAGEMENT**

Time : 3 Hours

Maximum Marks : 100

Note : Attempt any *five* questions. All questions carry equal marks.

1. Explain the scope of accounting and discuss how accounting information is useful for various stakeholders of business. 20

2. Explain the following accounting concepts :

4×5=20

(a) Money Measurement Concept

(b) Cost Concept

P. T. O.

(c) Going Concern Concept

(d) Accounting Period Concept

3. Explain the use of ratios as diagnostic tool. Discuss and evaluate various 'Solvency Ratios'. 20
4. Explain the basic four decisions which a Finance Manager has to take. Discuss the objectives of financial management and explain why wealth maximization is superior to profit maximization. 20
5. What is 'Working Capital' ? Discuss the operating cycle concept of working capital. 20
6. What do you understand by cost of capital ? Explain the various techniques used to determine the cost of equity capital. 20

7. Discuss the objectives of inventory management. Explain the Economic Order Quantity (EOQ) method of inventory management. 20
8. What are the motives for holding cash ? Explain the Baumol's model for optimum cash balance. 20

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Time : 3 Hours

Maximum Marks : 100

Note : Attempt any **five** questions. All questions carry equal marks.

1. M/s Pankaj and Sons present you the following : $4 \times 5 = 20$

Balance Sheet as at 31st March, 2023

	₹
Equity Share Capital	20,00,000
10% Preference Share Capital	4,00,000
Reserve Fund	16,00,000

P. T. O.

- (iii) Ratio of Debt to Equity capital
 - (iv) Return on owner's Equity
 - (v) Return on Total Assets
2. What do you mean by 'Funds Flow Statement' ?
Explain its importance to the management.
Discuss in detail the procedure for construction
of funds flow analysis. 5+5+10
3. What is Balance Sheet ? Explain the main
contents of balance sheet and give its pro
forma. 20
4. What is the need for analysis and
interpretation of financial statements ? Who
are the main users of such analysis and
interpretation ? Also state its limitations. 20
5. Explain the different types of investment
decisions. Describe the stages in capital
budgeting process and discuss the importance
of capital investment decisions. 20

6. What is the significance of Working Capital Management ? How will you determine the amount of day to day working capital requirement in a large business ? 20
7. Explain the relevance of cost of capital in long-term investment and financing decisions. Discuss the different problems in its determination. 20
8. Define the following and state how each can be determined : $4 \times 5 = 20$
- (a) Re-order point
 - (b) Minimum inventory level
 - (c) Maximum inventory level
 - (d) Safety inventory level